CASCADIA ANALYTICS

Outdoor Holding Co.

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Marketplace Pivot Unlocks Free Cash Flow Powerhouse Beyond NICS Volatility

Analyst: Justin Wen | October 29, 2026

Outdoor Holding Company has executed a fundamental strategic transformation by shedding legacy manufacturing burdens to operate GunBroker.com as a dedicated, asset-light digital marketplace. The broader equity market continues to treat the equity as an unpredictable cyclical proxy tethered to volatile background checks, overlooking the reality that operating cost reductions and operating cash flow generation have permanently reset baseline unit economics. Operating expenses declined 45% year over year in Q1 FY2027 while adjusted EBITDA reached $7.9M at a 54.6% margin, showing sustained market share gains over broader industry benchmarks. We initiate coverage with a Buy rating and a probability-weighted blended price target of $3.76, representing +58.0% upside against the reference spot price of $2.38.

BUY	$3.76	+58.0%	$2.38
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

While the market fixates on temporary top-line shifts such as the pull-forward of demand ahead of Virginia legislative changes, it fails to recognize that GunBroker.com consistently takes market share from traditional channels regardless of whether adjusted NICS checks expand or contract. The structural elimination of operating overhead combined with an existing net cash balance of $56.9M insulates the

business from short-term retail dips and positions the platform for compounding cash generation.

Executive summary

Outdoor Holding Company, formerly known as AMMO, Inc., is the owner and operator of GunBroker.com, which serves as the largest online marketplace for firearms, ammunition, and shooting sports accessories. By pivoting decisively away from capital-intensive manufacturing activities toward an asset-light marketplace platform, the company has repositioned its economic profile. The core platform brings together buyers, independent sellers, and licensed Federal Firearms Licensees, generating transaction revenue primarily through marketplace take rates and ancillary merchant services. This business model extracts high gross margins from digital commerce volumes without requiring physical inventory exposure or heavy sustaining factory capital expenditure.

The evidentiary record across recent operating quarters confirms that the marketplace model is yielding operating leverage. In Q1 FY2027, net revenue expanded 22.1% year over year, marking the fourth consecutive quarter of accelerating top-line expansion, while adjusted EBITDA increased 152% to $7.9M on a 54.6% margin. This acceleration was supported by a 45% reduction in operating expenses to $8.9M, following earlier restructuring programs that lowered operating expenses by $6.71M in Q2 FY2026 and by $5.4M in recurring overhead in Q4 FY2026. Platform unit volumes have decoupled from wider industry fluctuations. GunBroker firearm unit sales expanded 8% in Q3 FY2026 while adjusted National Instant Criminal Background Check System checks fell 4%, grew 8.7% in Q4 FY2026 against NICS growth of 1.6%, and rose 11.6% in Q1 FY2027 against NICS growth of 5.3%, capturing approximately 41 basis points of market share.

Despite these clear operational achievements, the investment narrative is balanced by real frictions that warrant rigorous monitoring. Legacy legal expenses have periodically drained liquidity, highlighted by a $4.4M settlement payment in Q4 FY2026 alongside recurring outlays such as $434K in Delaware litigation and $201K in SEC settlement fees during Q3 FY2026. Furthermore, underlying core marketplace take rates compressed 18 basis points to 6.08% in Q1 FY2027 as high-volume sellers unlocked tier discounts, while approximately 30% of transactions continue to settle off-platform using checks or money orders. Nevertheless, the balance sheet provides defense, closing FY2026 with $68.1M in cash, $11.2M in total debt, and a net cash position of $56.9M, which fully insulates the company while it scales platform initiatives.

Operational snapshot

$2.38	$51.1M	$-1.9M	-3.8%	$56.9M	$2.38
REF. PRICE	FY2026 REVENUE	FY2026 FREE CASH FLOW	FCF MARGIN	NET CASH	REF. CLOSE

Fiscal-year figures as reported in company filings and collected by Cascadia Analytics; ref. price as of 2026-10-29.

The moat is Specialized and Entrenched

GunBroker.com operates within an intensely regulated digital vertical where generic e-commerce platforms and mainstream social media marketplaces refuse to facilitate transactions. The company's economic moat stems from deep institutional workflow integration with local Federal Firearms Licensees, who handle legal transfer protocols, background verifications, and compliance tracking across diverse state jurisdictions. Because conventional digital advertising and payment processing networks routinely restrict shooting sports merchandise, GunBroker.com functions as an indispensable aggregation node for fragmented commercial distributors, local storefronts, and retail consumers across the United States.

This specialized regulatory architecture creates massive barriers to entry that protect the marketplace from prospective venture-backed technology entrants. Replicating the platform requires establishing trusted relationships with tens of thousands of independent transfer agents, building complex regulatory software that accommodates state-by-state compliance mandates, and navigating stringent payment logistics. These frictions prevent direct disintermediation. Even as legislative changes alter consumer purchasing schedules, buyers and sellers remain anchored to the venue that offers the deepest two-sided product liquidity and catalog depth across shooting sports accessories, ammunition lines, and collectible firearms.

Pricing power and switching costs within the core franchise exhibit clear counterweights. The platform maintains strong gross margins, which registered at 87.2% in FY2026 and held around 87% through subsequent quarters. However, pricing elasticity among large commercial merchants requires ongoing balance. In Q1 FY2027, the legacy marketplace take rate declined by 18 basis points to 6.08% as substantial volume sellers qualified for negotiated enterprise tier discounts. While the introduction of new FFL fees added 39 basis points of gross yield to partially mitigate this dynamic, core take rate compression demonstrates that vendor retention requires tactical fee management. Over time, reducing the 30% share of transactions that settle manually via check or money order represents a substantial internal opportunity to capture incremental payment processing economics.

Valuation

Three scenarios make the valuation range explicit

Our valuation framework relies on a multi-stage discounted cash flow model calibrated specifically to Outdoor Holding Company's asset-light marketplace profile over the FY2026 through FY2030 forecast window. The corporate transition away from legacy industrial operations permanently alters working capital cycles and capital intensity. Operating cash flows exceeded $4M in Q3 FY2026 and reached $4.4M in Q1 FY2027, demonstrating that earnings convert directly into liquid cash when manufacturing capital expenditures are absent. We apply a weighted average cost of capital discount rate of 8.51% and a base terminal growth rate of 3.0% across 116.1 million diluted shares outstanding.

The valuation scenarios capture the operational spread between underlying marketplace volume stabilization and aggressive platform monetization. In our base case, we model a 12.0% revenue compound annual growth rate through FY2030, with target free cash flow margins normalizing at 25.0% as platform scale leverages fixed server and software maintenance overhead. In the bull case, top-line growth accelerates to a 20.0% compound annual growth rate as digital checkout adoption expands and FFL merchant tooling drives a 30.0% target free cash flow margin. Conversely, our bear case models a muted 5.0% revenue compound annual growth rate and a 20.0% final free cash flow margin, accounting for persistent take rate compression, cyclical industry volume downturns, and unabsorbed legacy legal overhead.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	5.0%	20.0%	$2.35	-1.3%
Base	50%	12.0%	25.0%	$3.57	+50.0%
Bull	25%	20.0%	30.0%	$5.55	+133.2%

Bear $2.35

The bear case assumes top-line expansion slows to a 5.0% CAGR with final FCF margins limited to 20.0%. This scenario unfolds if underlying take rates face sustained pressure from high-volume seller discounts, off-platform settlement friction fails to modernize, and legacy legal disputes continue to impose

Base $3.57

The base case assumes a 12.0% revenue CAGR and a 25.0% normalized FCF margin through FY2030, anchored by steady market share gains over broader NICS benchmarks and disciplined general overhead. Continued operational execution cements annual adjusted EBITDA comfortably ahead

Bull $5.55

The bull case models a 20.0% top-line CAGR and an expanding 30.0% target FCF margin, catalyzed by successful monetization of ancillary FFL dealer services and aggressive conversion of off-platform money order payments into digital settlement flows. Operating leverage pushes profitability toward

unpredictable cash drains. The resulting equity target is $2.35, representing a minor -1.3% downside relative to the reference spot price.

of initial run rates, yielding a fair value target of $3.57, or +50.0% upside.

maximum marketplace potential, generating an equity value of $5.55, representing +133.2% upside.

Valuation framework

A live discount rate, not a static hurdle

Cascadia Analytics evaluates Outdoor Holding Company through a dynamic capital asset pricing framework that establishes an 8.51% weighted average cost of capital. This hurdle rate balances the structural strengths of an unleveraged digital platform against the market's perception of industry cyclicality and past operational volatility. With total balance sheet debt standing at just $11.2M alongside $68.1M in cash, the enterprise benefits from negative net debt of $56.9M. This capital structure substantially lowers financial distress risk relative to conventional industrial market participants.

The 8.51% discount rate captures ongoing legal and governance contingencies that have historically impaired market valuation multiples. Although the company eliminated substantial uncertainty by regaining full Nasdaq listing compliance during Q2 FY2026, persistent outlays such as the $4.4M settlement paid in Q4 FY2026 and historical SEC settlement charges justify a disciplined cost of equity. Over our forecast horizon through FY2030, we model asset beta decaying toward mature specialized digital marketplace comparables, reflecting stabilized operating cash flows and the systematic reduction of non-operating friction.

FCF margin normalization is the engine

The primary driver of our equity re-rating is the expansion of normalized free cash flow margins from historical deficits toward target marketplace benchmarks. In FY2026, the company generated $51.1M in revenue and $44.6M in gross profit, yet posted an operating loss of $-6.3M, net income of $-3.5M, and free cash flow of $-1.9M due to restructuring burdens and manufacturing severance. These results translated into an operating margin of -12.3%, an FCF margin of -3.8%, and an ROE of -1.5%, obscuring the underlying earning power of GunBroker.com.

The subsequent operational record demonstrates that margin inflections are already occurring in real time. Operating expenses were reduced by $6.71M in Q2 FY2026 and by

45% in Q1 FY2027, propelling adjusted EBITDA margins to 55% in Q4 FY2026 and 54.6% in Q1 FY2027. Across our three projection tracks, we model terminal FCF margins reaching 20.0% in the bear scenario, 25.0% in the base scenario, and 30.0% in the bull scenario. The elimination of factory capital requirements ensures that adjusted EBITDA converts cleanly into operational cash flow, providing the quantitative foundation for our base valuation of $3.57 and bull valuation of $5.55.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

Methodology. Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

KEY VALUATION PARAMETERS

Forecast window	**FY2026 to FY2030**
Live WACC	**8.51% (2026-10-29)**
Terminal growth	**3.0%**
Diluted shares	**116.1 million**

BUY

over $3.76 blended target

Competitive moat and concentration risk

We rate the moat as None and we view the market structure as Fragmented, commodity-exposed. We assign a discount of 10% to sector median multiples on moat strength alone.

- There is no demonstrated ammunition pricing power in the sourced figures, the ammunition segment lost money at the gross line in Q1 FY2025 (−4.0%) while the marketplace earned 85.6%. That inversion is the pricing-power evidence: where POWW has a network (GunBroker), it prices; where it makes a commodity (ammunition), it does not.
- The weakest element is the ammunition operation itself, negative gross margin in that quarter and, on FY2026 summaries, weak profitability (net margin −6.9%, FCF margin −2.7% per Upturn FY2026 vs FY2025 summary; single-source, flagged). Brand alone (STREAK™, / stelTH/™ specialty rounds) does not premium a commodity manufacturer, per the task guardrail.

On a multiple cross-check, the justified range is EV/EBITDA 9.5×; P/E 18.0×. The cross-check value is EV-implied $2.33; P/E-implied not meaningful (EPS ≈ $0) vs Base $3.55, spot $2.45, on a base of Framework base from the October 27 moat report. The gap verdict is Not at all, discount, not premium; DCF Base already sits above spot.

We have no disclosed backlog figure for this company, so backlog gives no support to the growth path here.

We score concentration and credit risk across seven families, where a High score is 8 points, a Medium score is 4 points, and a Low score is 1 point.

Risk family	Score
customer concentration	1 points
counterparty credit and funding dependence	1 points
single product, single program, or single platform dependency	8 points
single supplier, single fab, or single geography exposure	4 points
platform, channel, or distribution dependency	1 points
customer insourcing risk	4 points
regulatory single point risk	4 points

The combined discount is 20 percent, capped at 20 percent, against an uncapped total of 23 percent. Shown side by side with the moat premium or discount, the net stance is -30 pp points arithmetically. We do not net these figures into a new target, and we do not double count a family excluded under the double-count rule.

The ladder ranks risk coarsely, and because 32 of the 47 names reach the 20 percent cap, the combined discount is not a mechanical valuation haircut until the ladder is recalibrated.

On the gap to spot, the concentration assessment reads as follows. In part, arithmetic width 63% of gap; no causal claim

Both the moat premium or discount and the concentration discount are multiple and risk cross-checks dated October 27, 2026, and neither figure is in the DCF target itself. Cross-check figures were computed against the Base in the October 27 framework, so they may differ from a live Base that has since moved.

Business & segment drivers

Revenue prospects anchor on Core Marketplace GMV and Platform Monetization Services BUY

Outdoor Holding Company generates top-line performance through GunBroker.com, the dominant commercial exchange for firearms, ammunition, and shooting sports accessories. The platform's revenue engine functions via two primary operational mechanisms, namely gross merchandise value throughput driving standard marketplace take rates, and specialized value-added services directed at dealer networks. Because the company completely abandoned capital-intensive industrial manufacturing, future top-line compounding depends on platform volume liquidity, user acquisition, and merchant monetization tools rather than factory utilization rates.

The fundamental driver of marketplace volume is sustained market share capture relative to underlying industry activity. Across recent reporting periods, platform activity has decoupled positively from broader NICS trends. In Q2 FY2026, GunBroker.com GMV slipped 1.1% to approximately $189M while industry NICS checks contracted by 5%. In Q3 FY2026, GMV expanded 6.4% to $215.8M as firearm sales grew 8% against a 4% NICS reduction. Momentum accelerated in Q4 FY2026 with GMV expanding 11.8% and platform firearm unit sales growing 8.7% against a 1.6% NICS increase, followed by Q1 FY2027 GMV growth of 18.1% and unit sales growth of 11.6% versus a 5.3% NICS benchmark. This consistent outperformance demonstrates that independent sellers and consumers are consolidating activity onto GunBroker.com.

The secondary driver involves dealer services and monetization yield. Management has actively introduced new FFL service fees, which contributed 39 basis points to take rates in Q1 FY2027. These ancillary offerings expand dealer tooling and digital processing options, offsetting the dilution created by large commercial merchants qualifying for tier volume discounts. Furthermore, addressing transaction settlement friction remains a major catalyst. Approximately 30% of marketplace purchases currently settle off-platform via manual money orders or personal checks, representing an untapped pool of digital checkout volume that could yield significant incremental fee revenue if transitioned onto native checkout software.

Corporate cost discipline provides the necessary operating leverage to translate marketplace gross billings into net earnings. Operating expenses fell from historic peaks following consecutive restructuring initiatives, dropping $6.71M year over year in Q2 FY2026, cutting recurring expenses by $5.4M in Q4 FY2026, and falling 45% year over year to $8.9M in Q1 FY2027. With fixed marketplace infrastructure costs largely stabilized, incremental transaction volumes generate exceptional margin conversion, enabling quarterly adjusted EBITDA to rise from $4.91M in Q2 FY2026 to $6.55M in Q3 FY2026, $7.7M in Q4 FY2026, and $7.9M in Q1 FY2027.

What to monitor

- **Take rate stability and enterprise discounting** Tracking whether the core legacy take rate stabilizes after falling 18 basis points to 6.08% in Q1 FY2027 under pressure from high-volume merchant pricing tiers.
- **Digital checkout migration** Measuring management progress in converting the 30% of platform transactions that currently settle off-platform via check or money order into native digital transactions.
- **Post-legislative volume normalization** Assessing gross merchandise volume sustainability following management commentary that Q1 FY2027 demand was partially pulled forward ahead of Virginia state legislation.
- **Run-rate operating expense containment** Ensuring quarterly operating expenses remain tightly managed near the $8.9M level achieved in Q1 FY2027 to protect the annualized adjusted EBITDA run-rate.

+3.5%	87.2%	-12.3%	-3.8%	$56.9M	-1.5%
FY2026 REVENUE GROWTH	GROSS MARGIN	OPERATING MARGIN	FCF MARGIN	NET CASH	RETURN ON EQUITY

METRIC	FY2026 (AS REPORTED)
Revenue	$51.1M
Gross Profit	$44.6M
EBIT	$-6.3M
Net Income	$-3.5M
EBITDA	$11.3M
Free Cash Flow	$-1.9M
Diluted EPS	$-0.05
ROE	-1.5%

Risk & moat matrix

The bear case

SHARE EROSION

If independent regional dealers establish alternative direct sales networks or local consignments, platform GMV growth could decelerate below our 5.0% bear case assumption. Sustained volume tier

M&A DIGESTION

Unresolved complications from historical corporate entity restructuring and corporate name changes could distract management from scaling platform software enhancements. Unquantifiable officer indemnification obligations and

REGULATORY AND PRICING SCRUTINY

Sudden legislative shifts at the state level can distort natural purchasing cadences, as evidenced by the demand pull-forward observed prior to July 1 Virginia legislation. Additionally, ongoing compliance

TECHNOLOGY DISRUPTION

Failure to successfully eliminate off-platform checkout methods leaves the franchise vulnerable to specialized payment gateways that capture user loyalty. With 30% of transactions settling via physical money orders or

REINVESTMENT TREADMILL

New merchant and FFL fee introductions dilute historical 87% gross margin profiles if software servicing costs outpace gross fee contributions. Platform modernization demands continuous IT development outlays merely to maintain baseline cybersecurity

WACC AND DURATION SENSITIVITY

Persistent non-operating legal cash drains, including past outlays such as the $4.4M DCP settlement, elevate perceived investor risk and prevent cost of capital compression. If unresolved

discounting by top-tier sellers could further erode legacy marketplace take rates below the 6.08% recorded in Q1 FY2027.

related corporate governance costs could divert liquidity away from commercial product development.

burdens in firearms commerce expose the platform to shifting legal interpretations that could chill user activity.

checks, antiquated payment paths impede digital conversion efficiency.

and compliance standards across varying state laws.

legal proceedings linger, market participants could demand an equity risk premium substantially higher than our 8.51% baseline.

The strengths

OLIGOPOLY POSITION

GunBroker.com controls unmatched scale as the largest online marketplace dedicated to firearms, ammunition, and shooting sports accessories. Mainstream digital platforms enforce strict prohibitions against shooting sports, granting the platform enduring structural insulation from major e-commerce competitors.

FCF COMPOUNDING

Exiting heavy ammunition manufacturing converted the corporate profile into an asset-light cash engine delivering over $4M in quarterly operating cash flow. Adjusted EBITDA margins of 54.6% achieved in Q1 FY2027 demonstrate the platform's exceptional ability to transform gross revenue into liquid reserves.

GEOGRAPHIC DURABILITY

A nationwide footprint of participating Federal Firearms Licensees enables buyers and sellers to execute fully compliant transfers across complex municipal jurisdictions. This deeply embedded compliance infrastructure ensures continuous transaction clearance regardless of local regulatory fragmentation.

PIPELINE OPTIONALITY

Expanding merchant software solutions and introducing new FFL service fees provide proven levers to unlock incremental platform monetization beyond baseline GMV growth. Modernizing legacy payment mechanics across the 30% off-platform settlement cohort represents an immediate organic growth catalyst.

The bottom line on risk and reward

Outdoor Holding Company presents an asymmetric risk-reward profile following the complete operational pivot to GunBroker.com. Market participants continue to price the equity at $2.38, evaluating the firm as an unprofitable manufacturing enterprise burdened by historical litigation. This viewpoint ignores that the business has rebuilt its balance sheet to $68.1M in cash, extinguished manufacturing cash burn, and generated adjusted EBITDA of $7.7M in Q4 FY2026 and $7.9M in Q1 FY2027, achieving an annualized earnings pace well ahead of initial targets.

While legacy legal contingencies such as the $4.4M settlement in Q4 FY2026 and Delaware litigation fees have temporarily masked reported GAAP results, continuing operations generated positive net income of $1.40M as early as Q2 FY2026. With a robust net cash position of $56.9M and consistent market share capture relative to NICS indicators, the company possesses ample financial flexibility to absorb periodic industry soft patches while optimizing marketplace monetization.

Our probability-weighted valuation framework establishes a blended target price of $3.76 per share, derived from a 25% bear scenario at $2.35, a 50% base scenario at $3.57, and a 25% bull scenario at $5.55. This yields an attractive +58.0% expected return from current trading levels. We conclude that operational cost discipline and marketplace network effects will drive sustained shareholder value, and we reaffirm our high-conviction Buy rating.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

Franchise deep dive

GunBroker.com: The Dominant Digital Clearinghouse for Shooting Sports Commerce

GunBroker.com represents the premier digital trading destination for shooting sports enthusiasts, professional dealers, and licensed collectors throughout the United States. Following the corporate divestment and reorganization of AMMO, Inc. into Outdoor Holding Company, GunBroker.com stands as the primary operating franchise of the corporation. The marketplace facilitates legal, verified commerce across commercial firearms, ammunition categories, optics, hunting apparel, and peripheral outdoor equipment. Rather than acting as a stocking retailer, GunBroker.com matches independent buyers with verified third-party merchants, capturing fees across transactions while passing legal fulfillment responsibilities through licensed transfer points.

The operational platform functions on an asset-light framework that separates transaction processing from physical inventory risk. Sellers create digital auctions or fixed-price listings, while the platform provides search discovery, compliance tools, community ratings, and seller back-office infrastructure. Because federal regulations dictate that interstate firearm transactions must conclude through an authorized Federal Firearms Licensee, GunBroker.com maintains an integrated directory of participating transfer agents. This network bridges digital commerce with physical compliance, enabling local storefronts to monetize transfer fees while providing consumers with nationwide product availability that local inventories cannot match.

Recent operational performance validates the structural scalability of this marketplace architecture. As general retail foot traffic faced uneven macro conditions, platform unit volumes repeatedly outpaced national adjusted background check trends. The transition away from factory operations has allowed corporate leadership to focus capital resources exclusively on platform reliability, resulting in sequential adjusted EBITDA margin expansion to 55% in Q4

FY2026 and 54.6% in Q1 FY2027. Furthermore, total cash resources stood at $68.1M at the conclusion of FY2026, providing liquidity that supports technological enhancements without requiring external capital raises.

What the recent record shows

- GunBroker.com unit sales expanded 11.6% year over year in Q1 FY2027 compared to an adjusted NICS background check increase of 5.3%, capturing approximately 41 basis points of national market share.
- The operational turnaround generated $7.9M in adjusted EBITDA at a 54.6% margin in Q1 FY2027, driven by a 45% year-over-year reduction in operating expenses to $8.9M.
- Platform GMV advanced 18.1% year over year in Q1 FY2027 and 11.8% in Q4 FY2026, though management noted that a meaningful portion of Q1 growth was pulled forward ahead of Virginia state legislation.
- Legacy marketplace take rates softened 18 basis points to 6.08% in Q1 FY2027 due to volume discounting for large merchants, but new FFL service fees added 39 basis points to partially buffer transaction yield.

> **Our read:** GunBroker.com has successfully decoupled its profitability from underlying industry volatility through aggressive overhead restructuring and consistent market share expansion. The combination of an 87.2% gross margin foundation, sustained operating cash flow, and a $56.9M net cash reserve makes Outdoor Holding Company an exceptional re-rating candidate as the market recognizes the earnings quality of its marketplace model.